

complaint

Mr and Mrs H complain that certain underwriters at The Society of Lloyd's have unfairly declined a claim they made under their buildings insurance for an escape of water.

background

Mr and Mrs H have their insurance through the Society of Lloyd's and have done so for a number of years. They have let their property out since 2008 when they moved abroad. On 28 February 2018 the tenants finally moved out of the property, having been gradually removing their contents in the weeks leading up to that.

Mr and Mrs H's letting agents were due to complete a final exit inspection on 2 March 2018 but were unable to due to extreme bad weather and snow. Over the course of that weekend, temperatures dropped substantially. On 5 March 2018 a neighbour contacted the letting agent to inform it of an escape of water at Mr and Mrs H's property.

The letting agent attended the property and discovered a substantial escape of water. They let Mr and Mrs H know, who subsequently contacted the underwriters to submit a claim. A loss adjuster was sent out to inspect the property. The report, dated 16 March 2018, shows burst pipes in the attic and garage. It also recorded the water system hadn't been drained down, although they had been informed the central heating had been left on at 22°C.

The loss adjuster told Mr and Mrs H that no cover was provided under the policy as escape of water claims are excluded if the property is unfurnished. Mr and Mrs H therefore complained about the claim being declined, particularly as the policy allowed for properties to be unoccupied for 30 days. The Society of Lloyd's didn't uphold their complaint for the same reasons as the loss adjuster gave Mr and Mrs H. It referred to the exclusions and policy schedule showing cover isn't provided.

Not happy with that, Mr and Mrs H asked us to look into the matter. Initially our investigator upheld the complaint. Lloyds – on behalf of the underwriters - hadn't provided a satisfactory explanation for how a property being unfurnished increased the risk of an escape of water, so it wasn't clear what risk the insurer wanted to minimise. And although the investigator had asked for an explanation, Lloyds referred to the property being unoccupied – but as the exclusion for unoccupancy didn't apply for 30 days, and this property had only been unoccupied for a matter of days, it wasn't relevant. And so our investigator upheld the complaint and asked the underwriters to reimburse Mr and Mrs H for their cost of repairs. Lloyd's didn't agree and the investigator was persuaded to change her outcome when it explained the lack of furnishings meant the risk of an escape of water had increased. Mr and Mrs H didn't agree this was fair and so the matter was referred to me for review and determination.

On review of the file, I didn't think Lloyd's had provided an adequate explanation as to why a property being unfurnished meant the risk of an escape of water was increased, and so something the underwriters had decided to exclude. To date I had felt Lloyd's had conflated unfurnished and unoccupied to the extent that I couldn't separate out what risk the property being unfurnished and *not* unoccupied the underwriters were looking to mitigate. I received a response which explained, in summary:

- The risk of an escape of water doesn't generally increase just because a property is unfurnished.

- If a property is unfurnished, it is highly unlikely the property is being lived in or occupied, so this could increase the risk of burst pipes and particularly could have implications for the severity of any loss. During winter months heating may not be used as frequently which could lead to pipes freezing and subsequently bursting when the temperature rises. And if the property is unoccupied no action can be taken to mitigate loss and so the loss could be substantially higher.
- Mr and Mrs H have suffered a significant escape of water which may not have been as severe if the property had been furnished with a bed and household furnishings – and the tenants were still in occupation.

I issued my provisional decision on 8 October 2019, explaining why I was minded to uphold this complaint – I wasn't satisfied the claim had been declined fairly. Mr and Mrs H haven't responded to my provisional findings despite sending further copies of the provisional decision to them by e-mail. Society of Lloyd's did respond, disagreeing with the outcome. It has now provided a statement from the underwriter about the exclusion.

In summary, it said:

- The exclusion is clearly outlined in the policy and policy schedule and is not unusual for this type of policy.
- Unfurnished properties do represent a higher risk. Having the exclusion on the policy provides protection for escape of water claims between days 1-29, as the property isn't classed as unoccupied until day 30. The exclusion bridges the gap for the first 29 days and insurers want to minimize their exposure to certain losses from the point the property is vacated.
- Once a property reaches 30 days of being unoccupied then this would need to be declared and endorsements applied – such as draining down the water system.

As Society of Lloyd's provided new information from its underwriters, I issued a second provisional decision on 6 January 2020. Society of Lloyd's hasn't provided any new information to me to consider. Mr and Mrs H are unhappy with the outcome and would still like their claim paid. They are unhappy because they say every time we receive information from Society of Lloyd's the outcome changes.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I understand Mr and Mrs H are unhappy that the outcome to the complaint has changed again. Unfortunately this can happen when new evidence or information is provided. This doesn't mean we haven't considered the matter impartially (as we are not on either party's side) just that we have considered whether the new evidence makes a difference. The same process and consideration would take place if Mr and Mrs H had provided new information for my consideration.

As Mr and Mrs H know, we had asked Society of Lloyd's for information about its exclusion clause throughout. And because I didn't think it had provided sufficient explanation, I reached a different outcome to that of the investigator. Under our rules, where I am reaching a different outcome, I am required to let the parties know the reasons for my findings in advance of reaching a final decision. This is so both parties understand the outcome I'm minded to reach and provide further evidence if they wish. Society of Lloyd's used this

opportunity to provide a more detailed explanation for the exclusion clause. It was right for me to take that into account just as I would if Mr and Mrs H had provided new information.

I understand Mr and Mrs H are unhappy that I have found Society of Lloyd's is entitled to rely on the exclusion clause contained within the policy. Exclusions clauses can be found in almost all insurance policies and having exclusions of itself isn't unfair. So my consideration was in relation to whether the exclusion has been applied fairly. And I found it was. Although Mr and Mrs H are unhappy with the outcome, they haven't provided any further evidence or arguments for me to consider. I therefore see no reason to depart from my latest provisional findings and I set these out again below.

Mr and Mrs H have clearly been through a stressful time, particularly as they had to deal with this matter from a distance. But I can only require the underwriters (through Lloyd's) to do something if I find that they have done something wrong – in this case if they were wrong to decline the claim.

The starting point for any complaint about a claim is the contract between the parties – the policy of insurance and the policy schedule. The policy schedule sets out the cover provided by the insurance and the policy booklet sets out the terms and conditions, definitions and any exclusions which apply. Both need to be considered in conjunction with each other when deciding whether or not cover is provided.

The policy is not an 'all-risks' policy which means it doesn't provide cover for all eventualities. The only events it provides cover for are the insured perils listed within the policy document. These include, amongst others, theft or attempted theft, malicious acts or vandalism, and escape of water.

Lloyd's and/or the underwriters have referred to both the policy document excluding the claim and the policy schedule setting out that cover isn't provided when the property is unfurnished.

Attached to the policy schedule is an endorsement appendix. This explains:

These are the endorsement(s) applicable to your policy. Please read these carefully as they affect the cover provided under your policy. If you have any questions, please contact your insurance adviser without delay.

The endorsement appendix goes on to list a number of endorsements to the policy in respect of unoccupied properties. This says:

- 1) *If the private residence is unfurnished:-
There is no cover under Section 1: Buildings and Section 2: Contents for insured events 10 (Theft or attempted theft), 11 (Malicious acts or vandalism) and 13 (Escape of water or oil), Extra Benefits 1 Accidental breakage, 5 Accidental damage to underground services or 8 Trace and access.*

'Unfurnished' is defined within the policy as:

Where the private residence is not furnished enough to be lived in.

'Unoccupied' is defined within the policy as:

Where the private residence has been left without an occupant for more than 30 days in a row.

It wasn't clear exactly when the escape of water occurred. But we knew it was between 28 February 2018, when the tenants left the property, and 5 March 2018 when it was discovered. This was a space of only five days and meant the property was only unoccupied for five days at the most at the time of the event. At this point in time Mr and Mrs H's property wasn't classed as unoccupied for the purposes of the policy – as that only applied if it had been left without an occupant for 30 days in row. As the endorsements to the policy applied to unoccupied properties, and as in accordance with the policy definition the property wasn't unoccupied, then I wasn't satisfied the endorsements applied to Mr and Mrs H's claim. It followed that I was satisfied Mr and Mrs H were claiming for an insured event.

I turn now to whether or not it is fair for Lloyd's underwriters to rely on an exclusion within the policy. "What is covered" sets out the insured perils under the policy, which includes:

13 Escape of water or oil from any fixed domestic water or heating installation, swimming pool, hot tub, jacuzzi, spa, aquarium, washing machine or dishwasher.

The loss adjuster reported burst pipes in the attic and the garage and so Mr and Mrs H's escape of water occurred from a fixed water installation.

"What is not covered" sets out the exclusions which apply to each peril. And for 13 Escape of water the policy says:

The first £250 of every claim unless stated otherwise in the policy schedule.

Loss or damage:

- *while the private residence is unfurnished ...*

Lloyd's and the underwriters have relied on this exclusion to decline Mr and Mrs H's claim as the property was unfurnished at the time. Whilst I do accept that it is a legitimate underwriting judgment for an insurer to decide the terms and conditions of its policy and to decide what risks it does and doesn't wish to cover, it nevertheless needs to apply its terms fairly. I am mindful of the rules and guidance in the Financial Conduct Authority's *Insurance: Conduct of Business Sourcebook ("ICOBS")*

ICOBS 8.1.1R says:

An insurer must:

- (1) handle claims promptly and fairly;
- (2) provide reasonable guidance to help a policyholder make a claim and appropriate information on its progress;
- (3) not unreasonably reject a claim (including by terminating or avoiding a policy);
and
- (4) settle claims promptly once settlement terms are agreed.

Further guidance is provided at ICOBS 8.1.2AG – cases where rejection of a consumer's claim is unreasonable: contracts on or after 1 August 2017.

- (2) The Insurance Act 2015 sets out a number of situations in which an insurer may

have no liability or obligation to pay. For example:

- (a) section 10 provides situations in which an insurer has no liability under a policy due to a breach of warranty;
- (b) section 11 places restrictions on an insurer's ability to reject a claim for breach of a term where the compliance is aimed at reducing certain types of risk; and
- (c) sections 12 and 13 provide for the extent to which a firm is entitled to reject fraudulent claims.

Mr and Mrs H rented out their property. It wasn't entirely clear they would be considered a 'consumer' in relation to this under the FCA's definition (Glossary to the *Financial Conduct Authority Handbook*). But I noted there was no reference to consumer claims in ICOBS 8.1.1. I considered it appropriate to take into account the other guidance as at the very least it represented good industry practice. And I noted that section 11 of the Insurance Act 2015 didn't only apply to consumer contracts.

The underwriters declined the claim because the property was unfurnished. However, through their own consideration of this and our investigation they conflated unfurnished with unoccupied. I fully accepted that a property being unfurnished may increase the risk of certain events which the insurer might not want to accept, such as malicious damage (e.g. an empty-looking house might attract the attention of vandals or squatters). But at the time of issuing my first provisional decision the underwriters hadn't provided a *clear* explanation as to why an unfurnished property increased the risk of an escape of water. I pointed out that the insurer was willing to accept the risks of a property being unoccupied for 30 days – a period in which a great deal of damage could occur.

Lloyd's has now provided a clearer explanation for the declination of Mr and Mrs H's claim – specifically the exclusion surrounding the property being unfurnished. As explained above, an insurer is entitled to decide what risks it does and does not wish to cover – and this isn't something I would generally interfere with, unless I found an exclusion had been applied unfairly. I accept the explanation from the underwriter that they were looking to minimise the damage that can occur in days 1-29. Indeed, this was something I had referenced as a possibility in my provisional decision. And I take its point that with rented properties or holiday homes, this is something that can frequently occur.

I know this is very disappointing for Mr and Mrs H. But I'm satisfied that the underwriters have provided adequate explanation for the risk they were looking to minimise, such that I don't find it was unfair to decline the claim. The property was unfurnished at the time of the escape of water even if it was for only a matter of days. And the policy does have a clear exclusion for escape of water claims where the property is unfurnished. As such the claim is excluded from cover. That means I don't require Society of Lloyd's to reimburse their costs for repairing the damage.

my final decision

For the reasons given, I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs H to accept or reject my decision before 1 March 2020.

Claire Hopkins
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